Victorian Water Trading

2023-24 Annual Report



VICTORIA State Government

Energy, Environment and Climate Action

Photo credit

The title page photo was taken by Darryl Whitaker. It shows lettuce crops on a farm near Bacchus Marsh, in western Victoria.

We acknowledge and respect Victorian Traditional Owners as the original custodians of Victoria's land and waters, their unique ability to care for Country and deep spiritual connection to it.

We honour Elders past and present whose knowledge and wisdom has ensured the continuation of culture and traditional practices.

DEECA is committed to genuinely partnering with Victorian Traditional Owners and Victoria's Aboriginal community to progress their aspirations.



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1. About this report

The purpose of this report is to provide a record of water trade behaviour across the year in Victoria. It maintains continuity with annual water trading reports dating back to 2007-08.

Many terms and phrases have specific meanings in the context of Victoria's water market. You can learn more about the types of water rights that can be traded at Water Trading - Water Register. A water dictionary is also available for definitions of terms.

Section 4: *Additional tables and charts* presents supplementary data without written commentary and is provided as additional context to the analysis in this report.

This report is a streamlined version of what was released in previous annual trade reports. Unless otherwise stated, the data presented in this report comes from the Victorian Water Register. If you wish to explore more, the Victorian Water Register website has data available to view or download, or you can contact us on water.reporting@deeca.vic.gov.au.

2. 2023-24 overview

			
More allocation water was traded The total volume of allocation water traded was the highest on record, about 15% more than the previous year	**Higher allocation trade prices** Allocation prices peaked much higher in 2023-24 compared to the previous year	**Less water share transfers** About 68 GL of high-reliability water shares transferred ownership compared to 89 GL in the previous year.	**Take and use licence trade was about the same** Groundwater and surface water take and use licences trade was about the same as the previous year.

2023-24 saw water availability return to average after a wetter than usual prior two years. Allocation markets were consistent with drying conditions as prices increased, however water availability was enough that there was a record volume of allocation water traded in Victoria.

3. 2023-24 Key trade statistics

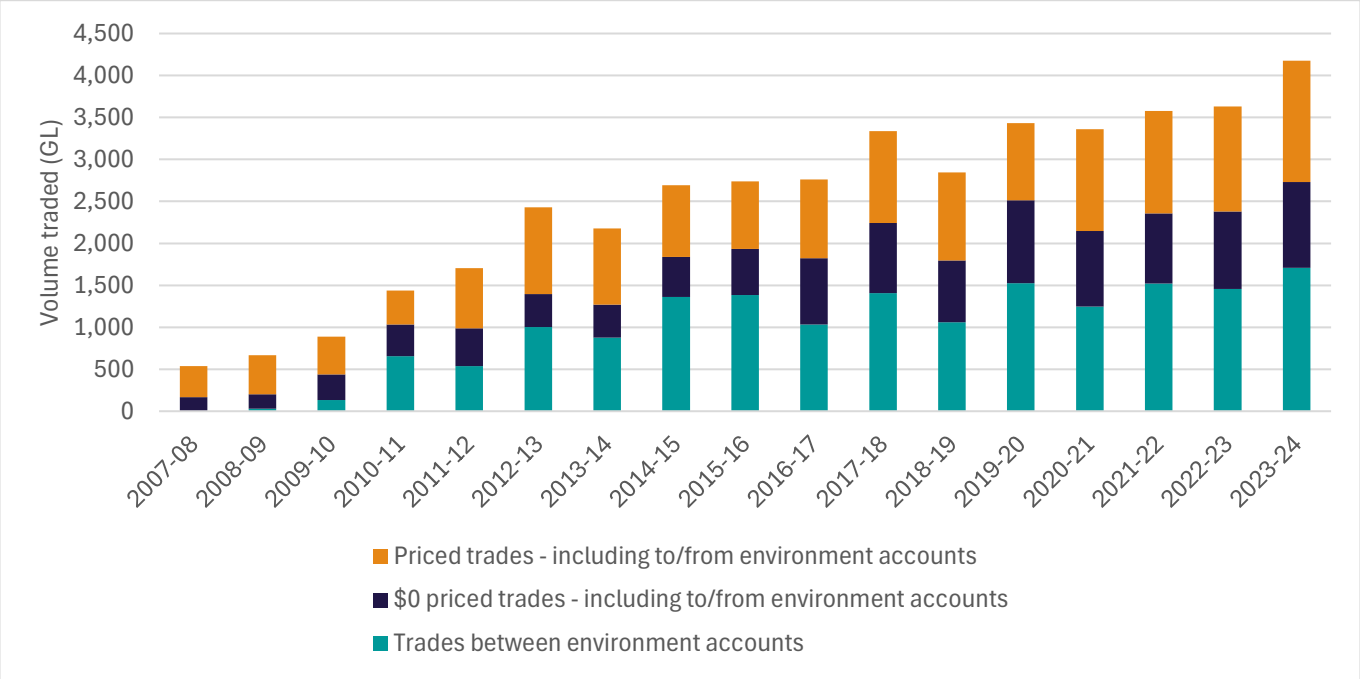
Allocation trade volume was much higher than the previous year

- 4,177 GL of allocation was traded in Victoria in 2023-24, much higher than the previous year (3,632 GL). This was the highest on record and is consistent with the trend of allocation trade increasing over the last decade (Figure 1).
- Private (non-environmental) exports to South Australia were also the highest ever, contributing to a reversal of the trend from past years of net imports to Victoria. Contributing factors may include

increasing demand for irrigation in SA and high spill risks in the Murray that led to restrictions on trade between NSW and Victoria (Figure 5).

- Movement of private water from Victorian tributaries[1] to zone 7 Vic Murray - Barmah to SA (153 GL) has increased compared to lower volumes in the last 3 years (-2 GL to 50 GL), however total imports to zone 7 remain down compared to the peak in 2019-20 when water availability was less (Figure 8).
- Total allocation trade in Southern Victoria (10 GL) was similar to the previous year (11 GL). However, within the Southern systems, Werribee saw over twice as much volume traded, and Thomson/Macalister saw about half as much volume of priced trade occur (Table 5).

Figure 1: Allocation trade volume, whole of Victoria since 2007–08

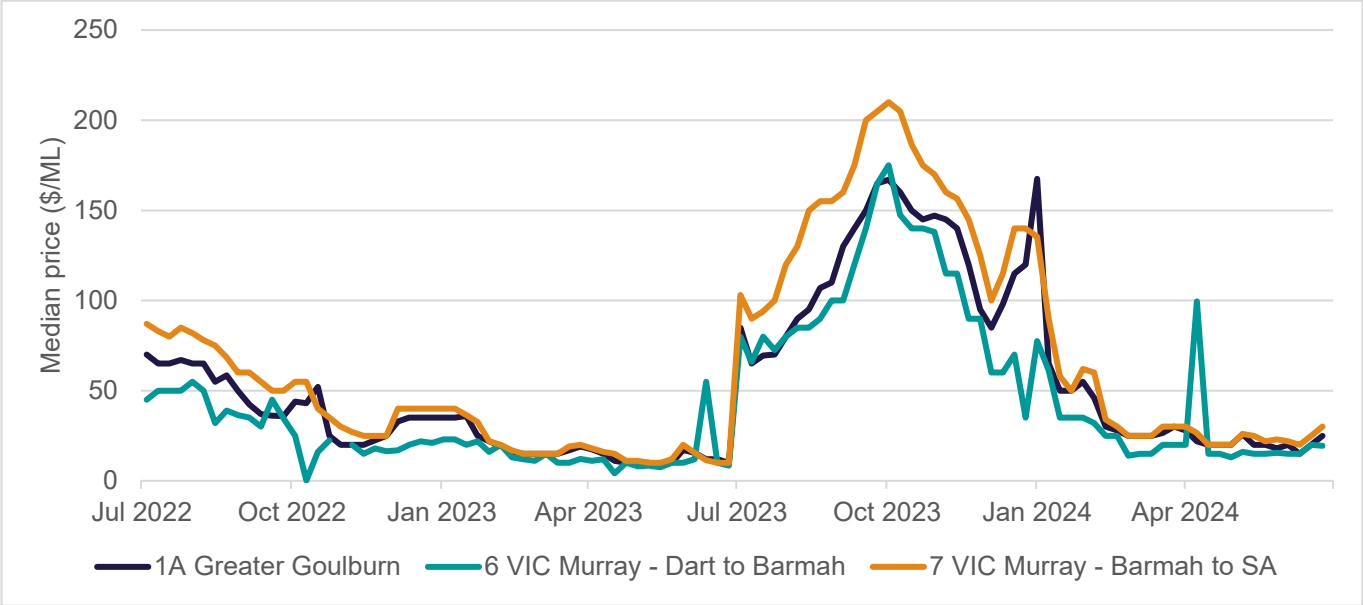


Allocation prices rose as drier conditions returned after two wet years

- Overall median allocation prices for 2023–24 were higher than the previous year reaching $200/ML in October in zone 7 (Figure 2) but remained low compared to the peaks above $600/ML in 2019-20 (Figure 6). The increase in prices is consistent with water availability falling back to average levels compared to wetter recent years.
- After peaking in October, median allocation prices in the Goulburn and Murray systems fell back below $30/ML for the last four months of the year. The downward trend was interrupted for a couple weeks near the end of December, shifting the median away from the prevailing trend at those times.
- In Southern Victoria, while median for Werribee decreased from previous year the Thompson/Macalister system saw median allocation prices rise to $200/ML which is about double the previous year and approaching the $250/ML last seen in 2019-20 (Figure 7).

[1] 'Victorian tributaries' comprises all Victorian trading zones from 1A to 5B: that is, zones 1A (Greater Goulburn), 1B (Boort), 2 (Broken), 3 (Lower Goulburn), 4A (Campaspe – Eppalock to WWC), 4C (Lower Campaspe), 5A (Loddon - CC/Tull to LWP) and 5B (Bullarook).

Figure 2: Allocation trade median price, weekly in zones 1A, 6, and 7, 2022-23 and 2023-24



Notes:

1. *$0-priced trades are not included in the median price calculations.*
2. *Isolated spikes away from the prevailing price may occur in some weeks with a small number of trades, for example due to forward contracts or private lease agreements.*

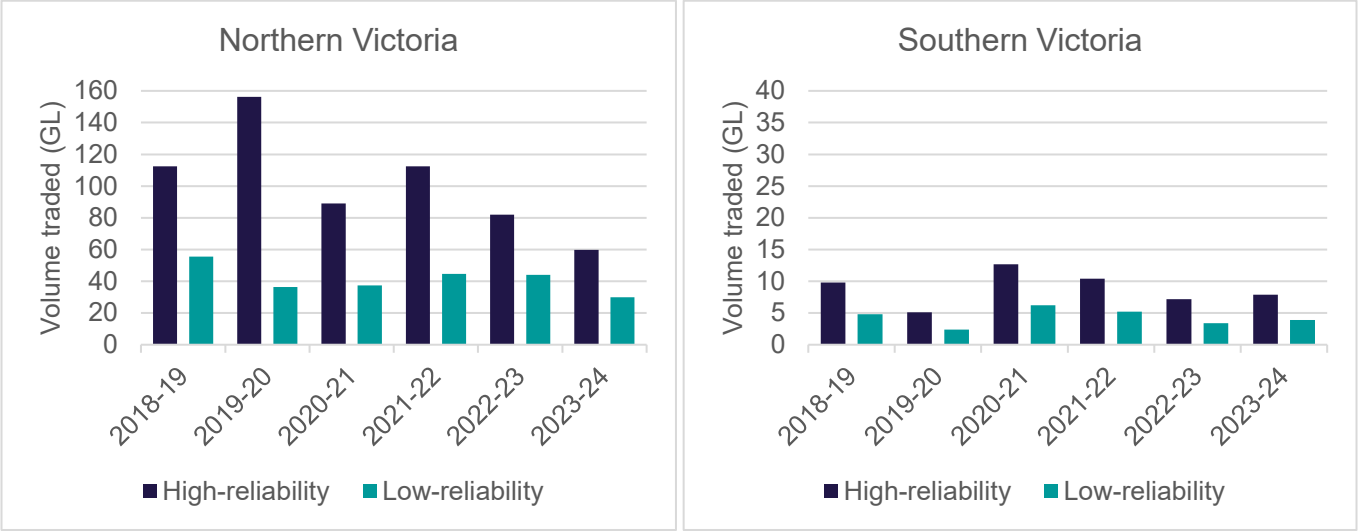
Standard commercial trade was the most common reason for trade

- Standard commercial trade was the biggest reason for trade by volume (excluding within environment), with about 1,029 GL across Victoria in 2023-24 compared to 867 GL for related party trades (Table 6).
- As in previous years, in 2023-24 private lease arrangements and forward contracts were generally priced higher than standard commercial trades, indicating that many irrigators are willing to pay a premium to insulated themselves from potential price rises (Figure 9 and Figure 10).
- Carry over parking arrangements were priced much higher than standard commercial trades in June 2024. For 1A Greater Goulburn carry over parking trades were around $75/ML, compared to about $30/ML for standard commercial trades at the same time. This likely reflects expectations of drier conditions in 2024-25 increasing demand for carryover space (Figure 9 and Figure 10).

Water share trade volume was lower in Northern Victoria

- Northern Victoria saw 60 GL of high-reliability and 30 GL of low-reliability water shares transferred, which was about 30% lower than in 2022-23 (82 GL and 44 GL respectively) and the lowest total volume of transfers since unbundling in 2007-08 (Figure 3).
- Southern Victoria saw 8 GL of high-reliability trade, and 4 GL of low-reliability transfers, which is about the same as 2022-23 (7 GL and 3 GL respectively).
- Water share prices across the year generally fell slightly compared to the all-time-high in 2022-23, for example the median high-reliability price in 7 VIC Murray – Barmah to SA was $7,600/ML in 2022-23, but $7,000 in 2023-24 (Figure 11). Except in Thomson/Macalister where median high-reliability prices rose to about $2,700/ML in 2023-24, compared to $2,200/ML in 2022-23 (Figure 12).

Figure 3: Water share transfers of ownership, Northern and Southern Victoria



Notes:

1. *Please note differing axis scales between Northern Victoria and Southern Victoria.*

Surface water take and use licence trade was about the same

- Overall, there was an increase in temporary trade in 2023-24 compared to the previous year, but permanent trade and trade as part of land transfers were about the same (Table 1).
- Unlike other trade types, a majority of surface water take and use licence trade was recorded in Southern Victoria in 2023-24, this is in line with the volume of surface water take and use licences on issue being greatest in Southern Victoria.

Table 1: Take and use license trade in surface water

Region	Temporary trade		Permanent trade (not as part of a land transfer)		Trade as part of a land transfer	
	Volume (ML)	Number of trades	Volume (ML)	Number of trades	Volume (ML)	Number of trades
Northern Victoria	1,677	40	317	48	2,945	175
Southern Victoria	2,718	79	641	22	7,666	199
Western Victoria	0	0	0	0	9	4
Total 2023-24	**4,394**	**119**	**958**	**70**	**10,620**	**378**
Total 2022-23	3,144	97	869	60	11,634	437

Total groundwater trade volume was about the same, but there was more permanent and temporary trade

- Temporary and permanent trade of groundwater take and use licences trade rose compared to the previous year, but trade as part of land transfers fell (Table 2).
- Northern Victoria was the most active region for groundwater trade, with Southern Victoria following. Western Victoria experienced the smallest number and volume of trades in all trade categories. This aligns with the total volume of groundwater entitlements on issue in each region.

Table 2: Take and use license trade in groundwater

Region	Temporary trade		Permanent trade (not as part of a land transfer)		Trade as part of a land transfer	
	Volume (ML)	Number of trades	Volume (ML)	Number of trades	Volume (ML)	Number of trades
Northern Victoria	8,766	58	3,898	34	16,286	112
Southern Victoria	4,456	63	2,347	29	10,751	127
Western Victoria	1,526	7	1,180	5	3,581	12
Total 2023-24	**14,748**	**128**	**7,425**	**68**	**30,618**	**251**
Total 2022-23	10,956	97	1,979	29	44,485	317

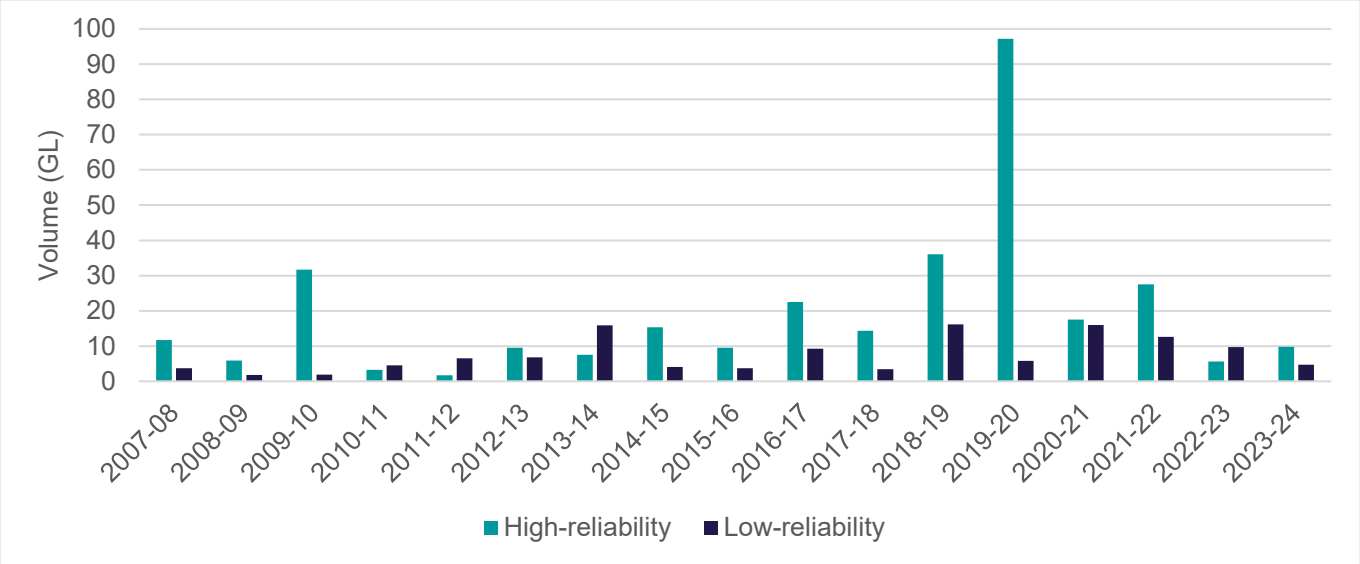
Extraction shares are issued as a newly tradeable right

- In November 2023 the 'General Place of Take' framework passed into law establishing 'Extraction Share' in declared systems as a right to take water during water restrictions.
- As a result, trade of extraction share is now possible. There was minimal activity in 2023-24 however activity will be monitored for future reports. To learn more about place of take and extraction share see the water register website here: Place of take approvals - Water Register

Limited term transfers continue to be a tool for managing water

- The combined volume of new Limited Term Transfers (LTTs) recorded in 2023-24 (15 GL) was similar to 2022-23 (15 GL), but with more new high-reliability LLTs and less low-reliability LTTs (Figure 4).
- No LTTs were recorded in Southern Victoria in 2023-24, the same as the previous year. Of the volume active in 2023-24, only 2 GL high and 1 GL low-reliability LTTs active were in Southern Victoria.

Figure 4: Limited term transfer applications recorded, whole of Victoria since 2007–08



Notes:

1. *The marked increase in 2019–20 in the LTTs recorded was mostly due to the restructuring of water assets between two companies.*

4. Additional tables and charts

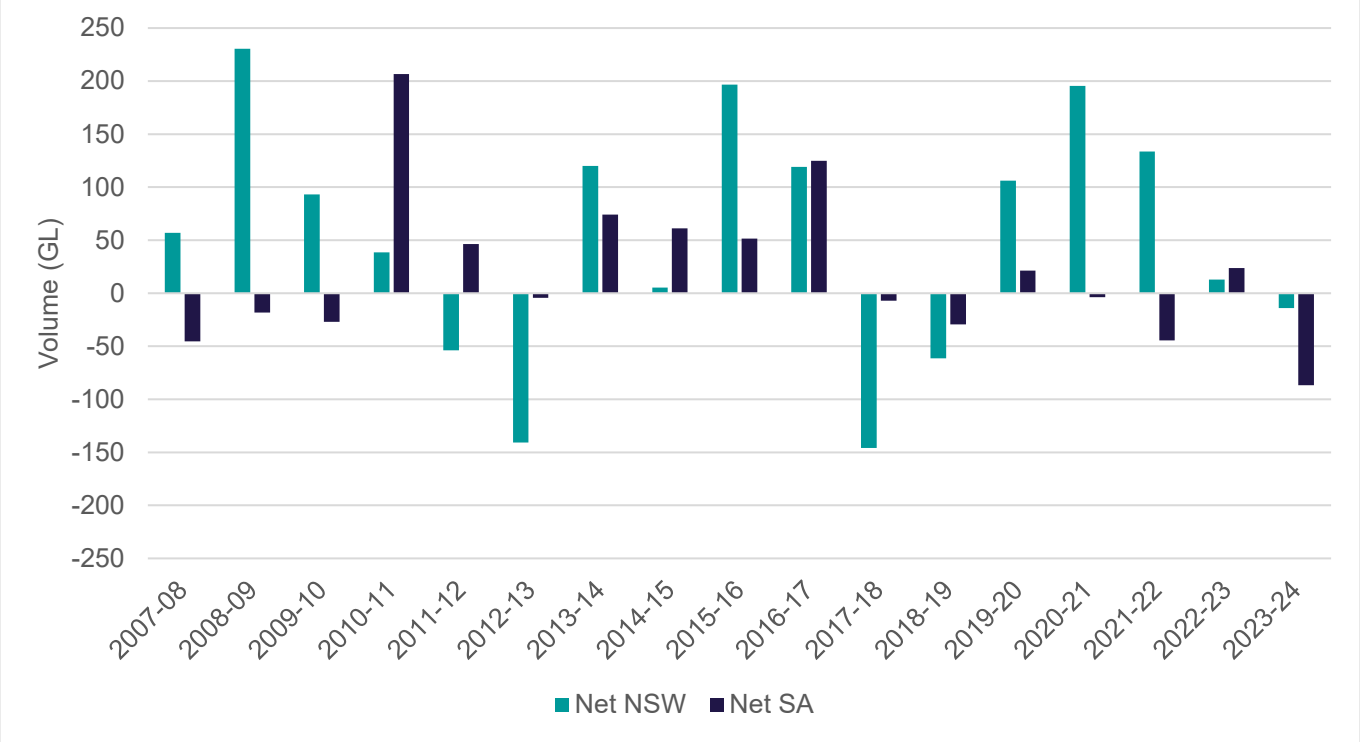
Table 3: Allocation trade summary

Trade type	2022-2023		2023-2024	
	Volume (ML)	Number of trades	Volume (ML)	Number of trades
Northern Victoria				
Priced trades	1,369,298	7,059	1,504,995	10,164
$0 priced trades	2,251,669	2,928	2,662,373	3,735
Northern Victoria subtotal	**3,620,967**	**9,987**	**4,167,368**	**13,899**
Southern Victoria				
Priced trades	2,155	32	1,132	27
$0 priced trades	8,595	109	8,990	110
Southern Victoria subtotal	**10,750**	**141**	**10,122**	**137**
Western Victoria				
Priced trades	0	0	0	0
$0 priced trades	0	0	0	0
Western Victoria subtotal	**0**	**0**	**0**	**0**
Total	**3,631,717**	**10,128**	**4,177,490**	**14,036**

Table 4: Water share transfers of ownership, northern and southern Victoria

Water share type	2022-2023		2023-2024	
	Volume (ML)	Number of transfers	Volume (ML)	Number of transfers
High-reliability				
Northern Victoria	81,902	1,766	59,654	1,616
Southern Victoria	7,199	103	7,935	109
High-reliability subtotal	**89,101**	**1,869**	**67,589**	**1,725**
Low-reliability				
Northern Victoria	44,097	640	29,998	628
Southern Victoria	3,400	85	3,900	90
Low-reliability subtotal	**47,497**	**725**	**33,898**	**718**

Figure 5: Private net allocation trade volume to Victoria, interstate by state



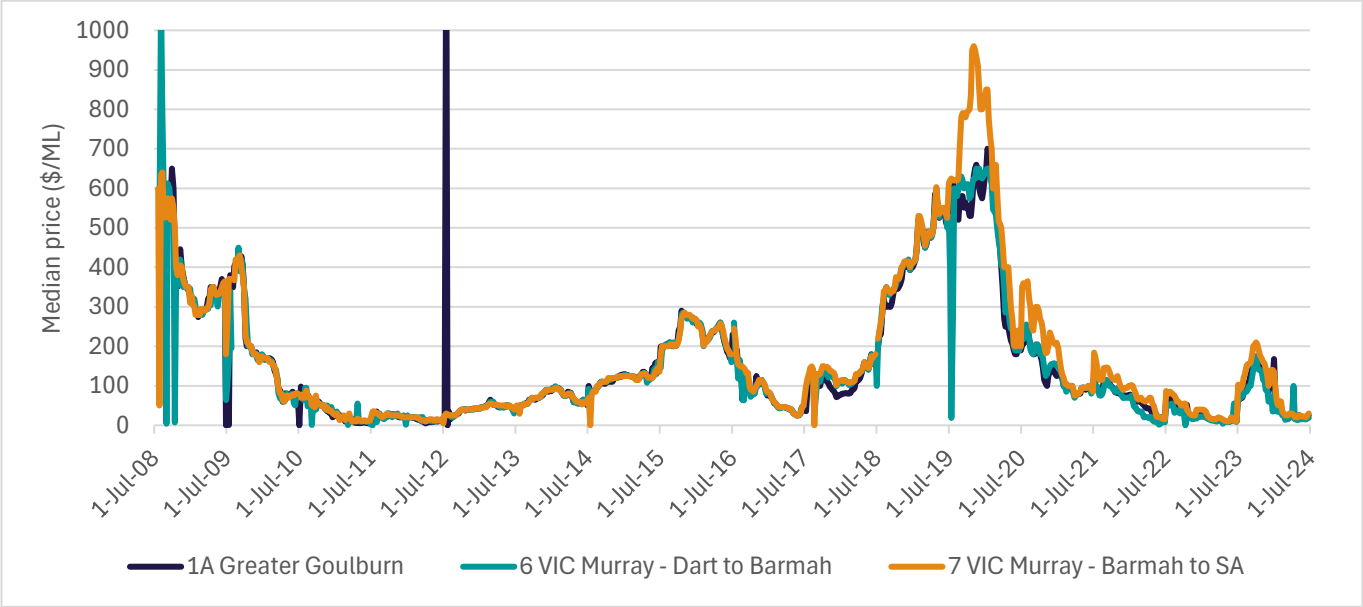
Notes:

1. *Positive volumes represent water imported into Victoria. Negative volumes represent water exported out of Victoria.*
2. *The volumes in this figure are including interstate tagged trade. Tagged trade is when water used in one trading zone is sourced from a different trading zone. Previous annual trade reports have not included tagged trade in this chart.*

Table 5: Allocation trade, southern Victoria

Trade type	2022-2023		2023-2024	
	Volume (ML)	Number of trades	Volume (ML)	Number of trades
Thomson/Macalister system				
Priced trades	2,135	31	781	16
$0 priced trades	8,053	84	7,826	74
Thomson/Macalister system subtotal	**10,188**	**115**	**8,607**	**90**
Werribee system				
Priced trades	20	1	351	11
$0 priced trades	542	25	1,164	36
Werribee system subtotal	**562**	**26**	**1,515**	**47**
Total	**10,750**	**141**	**10,122**	**137**

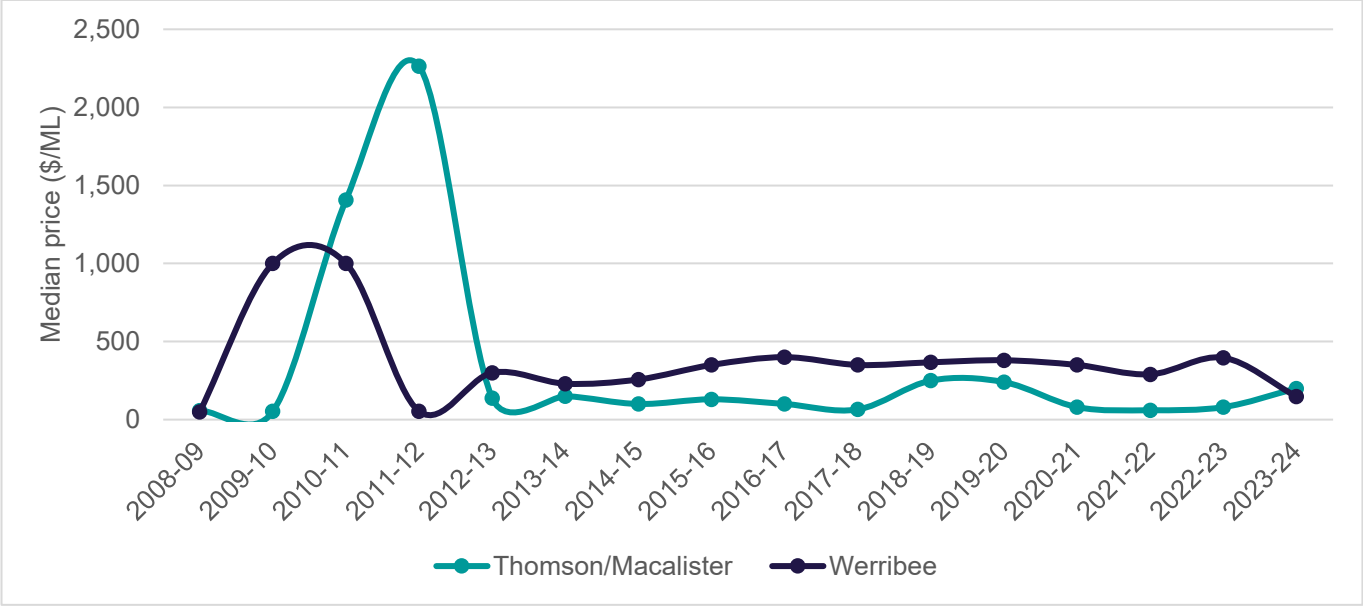
Figure 6: Allocation trade median price, weekly, zones 1A, 6, and 7, since 2008



Notes:

1. *$0-priced trades are not included in the median price calculations.*
2. *Isolated spikes away from the prevailing price may occur in some weeks with a small number of trades, for example due to forward contracts or private lease agreements.*

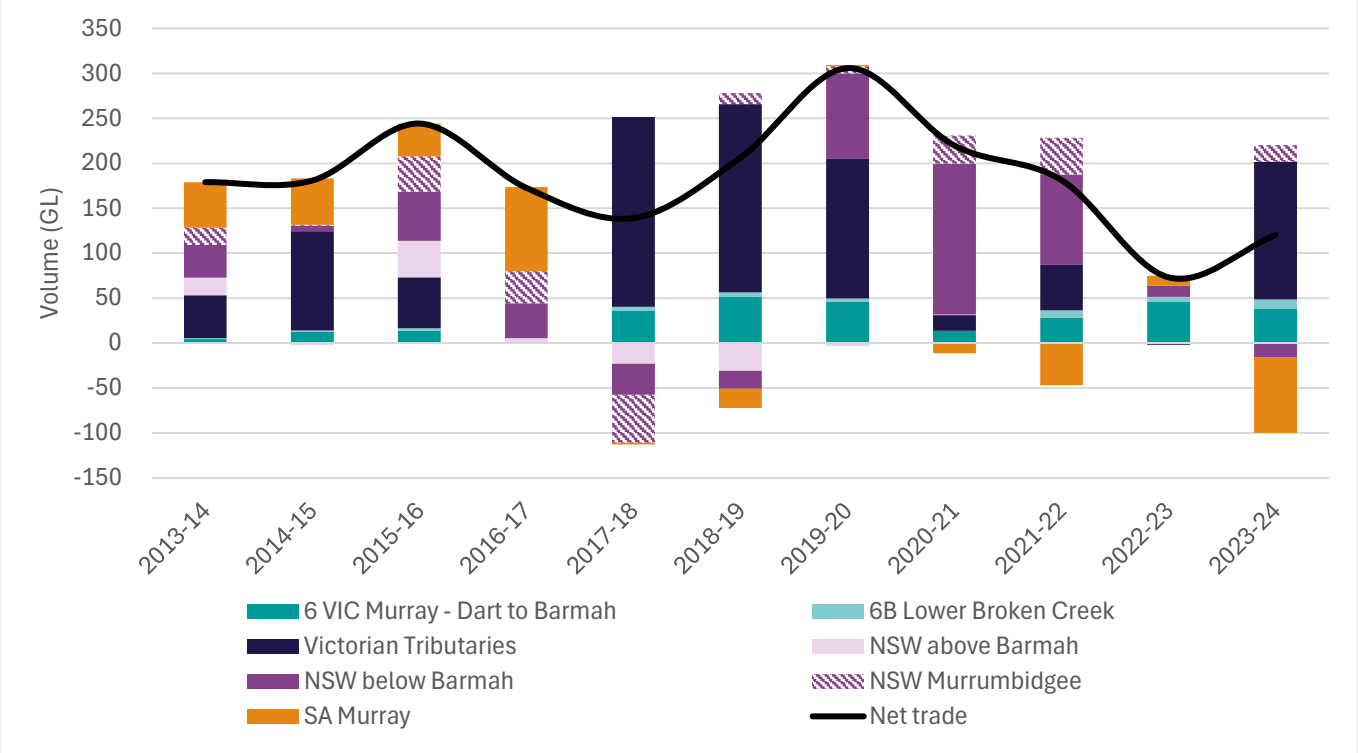
Figure 7: Allocation trade median price, southern Victoria since 2008–09



Notes:

1. *$0-priced trades are not included in the median price calculations.*

Figure 8: Net allocation trade and tagged use volume to zone 7 (Vic Murray – Barmah to SA)



Notes:

1. *This figure shows private accounts only.*
2. *Positive volumes represent water moving into zone 7. Negative volumes represent water moving out of zone 7.*
3. *'Victorian tributaries' comprises all trading zones from 1A to 5B: that is, zones 1A (Greater Goulburn), 1B (Boort), 2 (Broken), 3 (Lower Goulburn), 4A (Campaspe – Eppalock to WWC), 4C (Lower Campaspe), 5A (Loddon - CC/Tull to LWP) and 5B (Bullarook).*

Figure 9: Allocation trade price, by reasons for trade in zone 1A

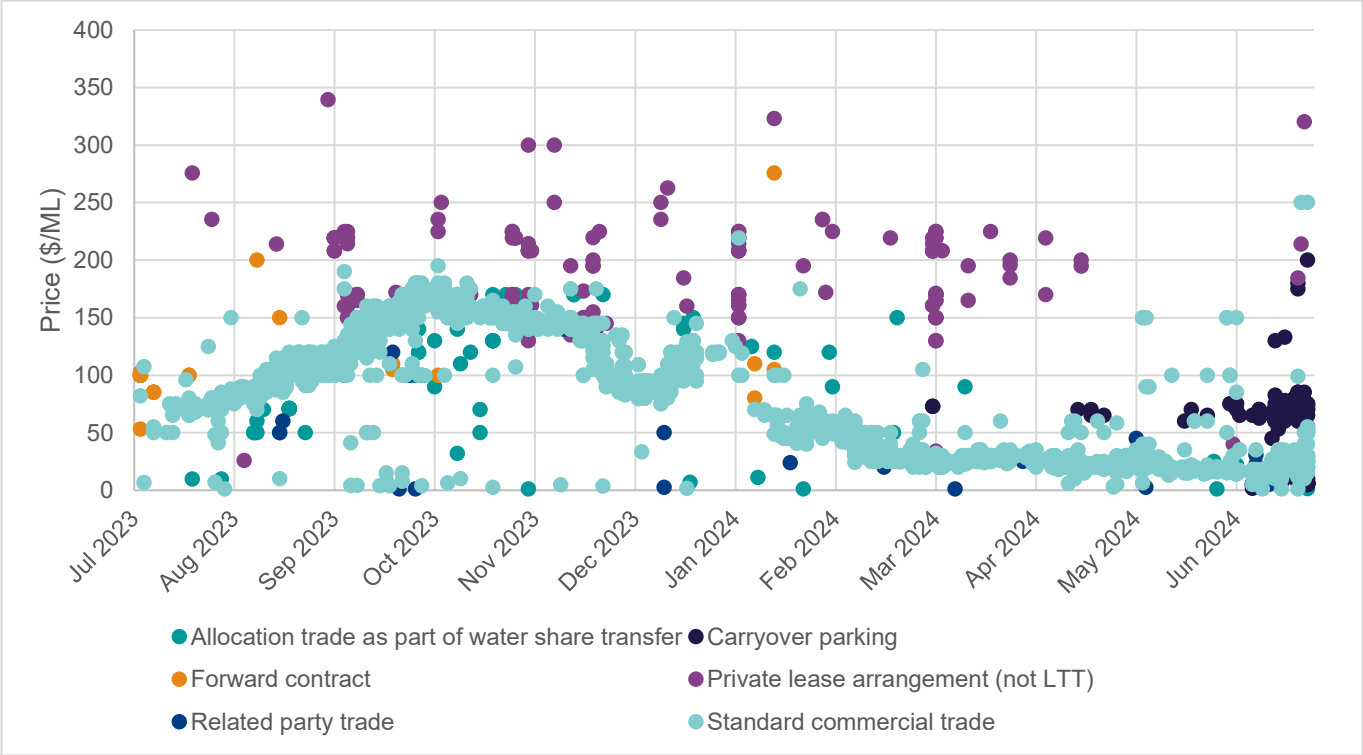


Figure 10: Allocation trade price, by reasons for trade in zone 7

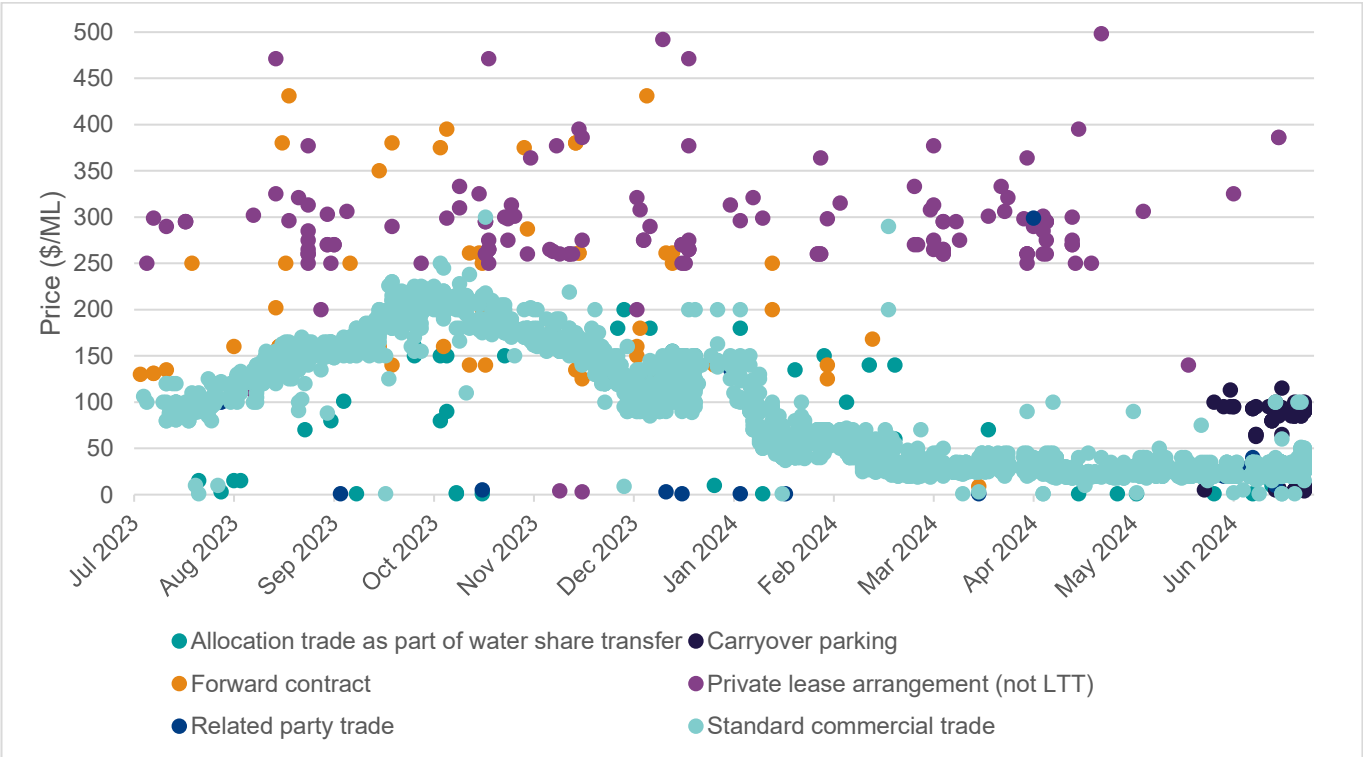


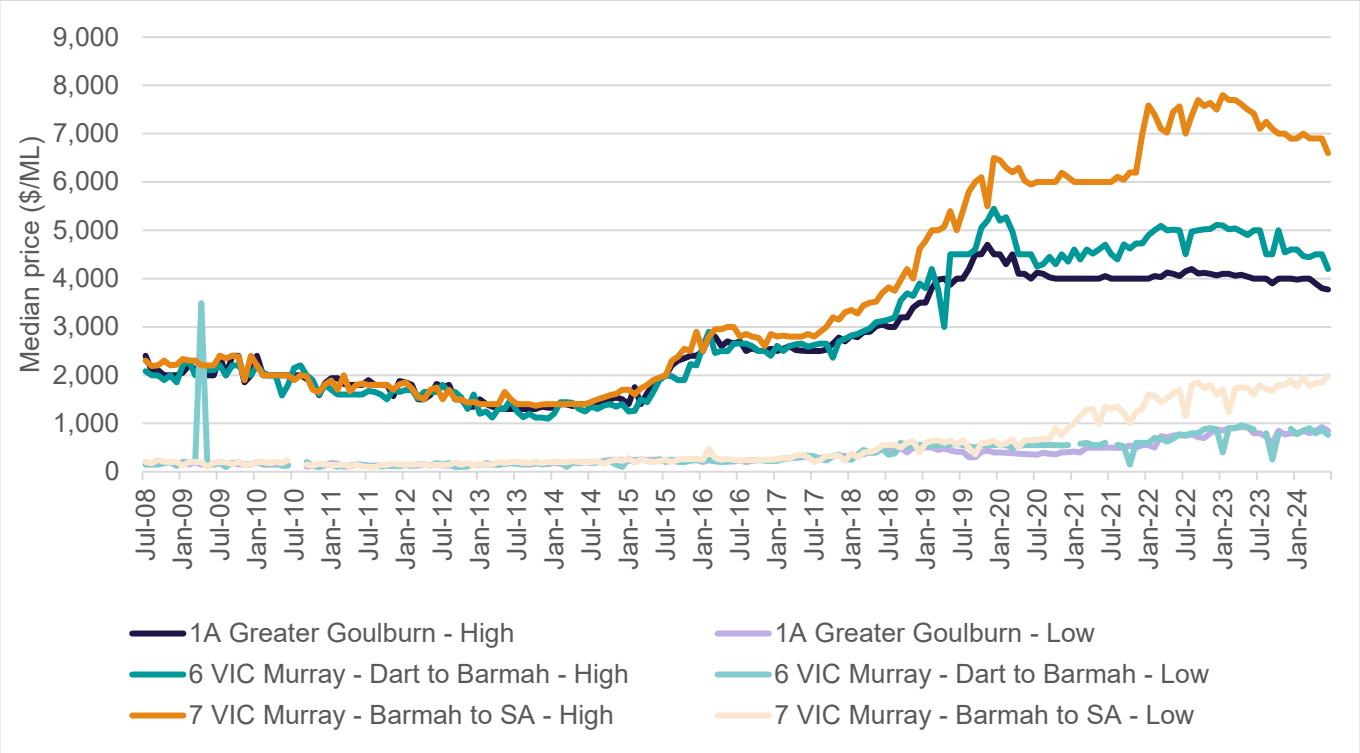
Table 6: Reason for trade, whole of Victoria (excluding environmental trade)

Reason for trade	2022-2023		2023-2024	
	Volume (GL)	Number of trades	Volume (GL)	Number of trades
Standard commercial trade	812	5,111	1,029	8,239
Related party trade	770	1,904	867	2,506
Carryover parking	224	360	167	316
Carryover parking return	83	263	109	368
Private lease arrangement (not LTT)	78	363	68	389
Forward contract	50	112	54	102
Allocation trade as part of water share transfer	31	664	19	496
Other	12	75	14	81
Legacy	124	1,197	145	1,431
Total	**2,183**	**10,049**	**2,473**	**13,928**

Notes:

1. *This table excludes trades between environmental accounts.*
2. *'Legacy' type refers to trades processed manually by water corporations where no reason for trade was collected.*

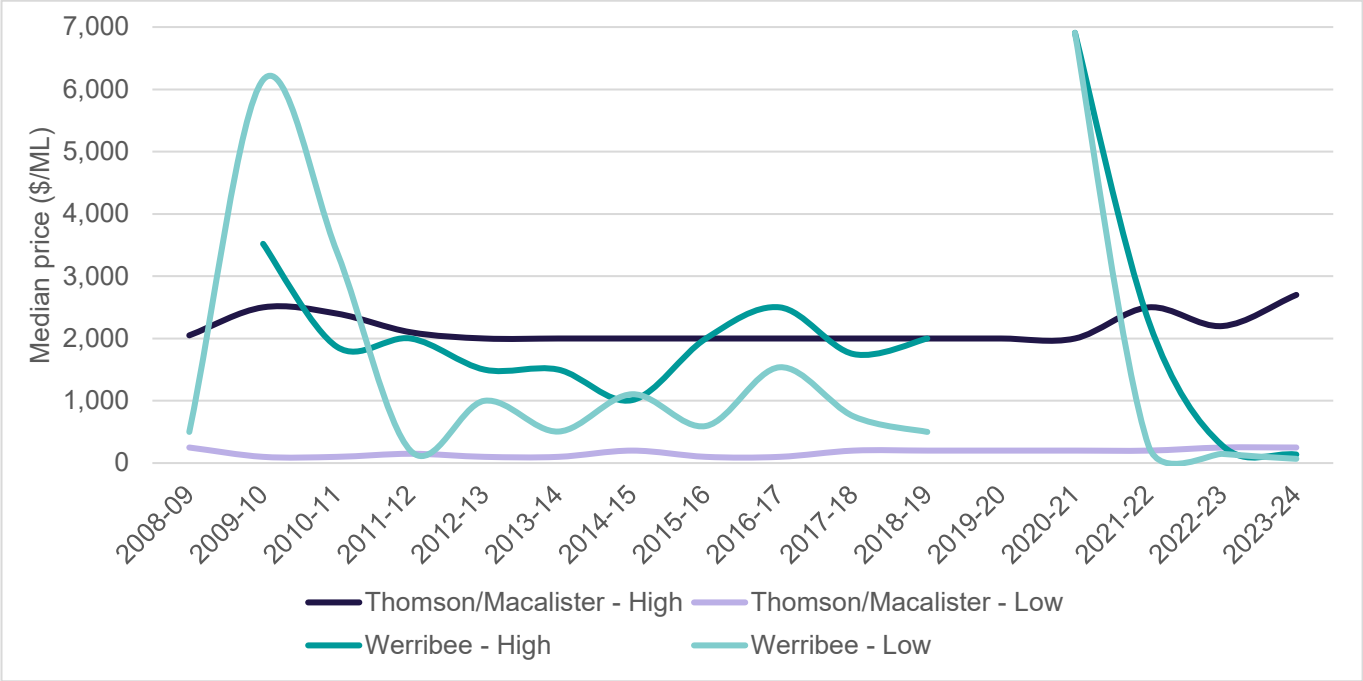
Figure 11: High and low-reliability water share transfers of ownership monthly median price, zones 1A, 6, and 7, since 2008



Notes:

1. *$0-priced trades are not included in the median price calculations.*

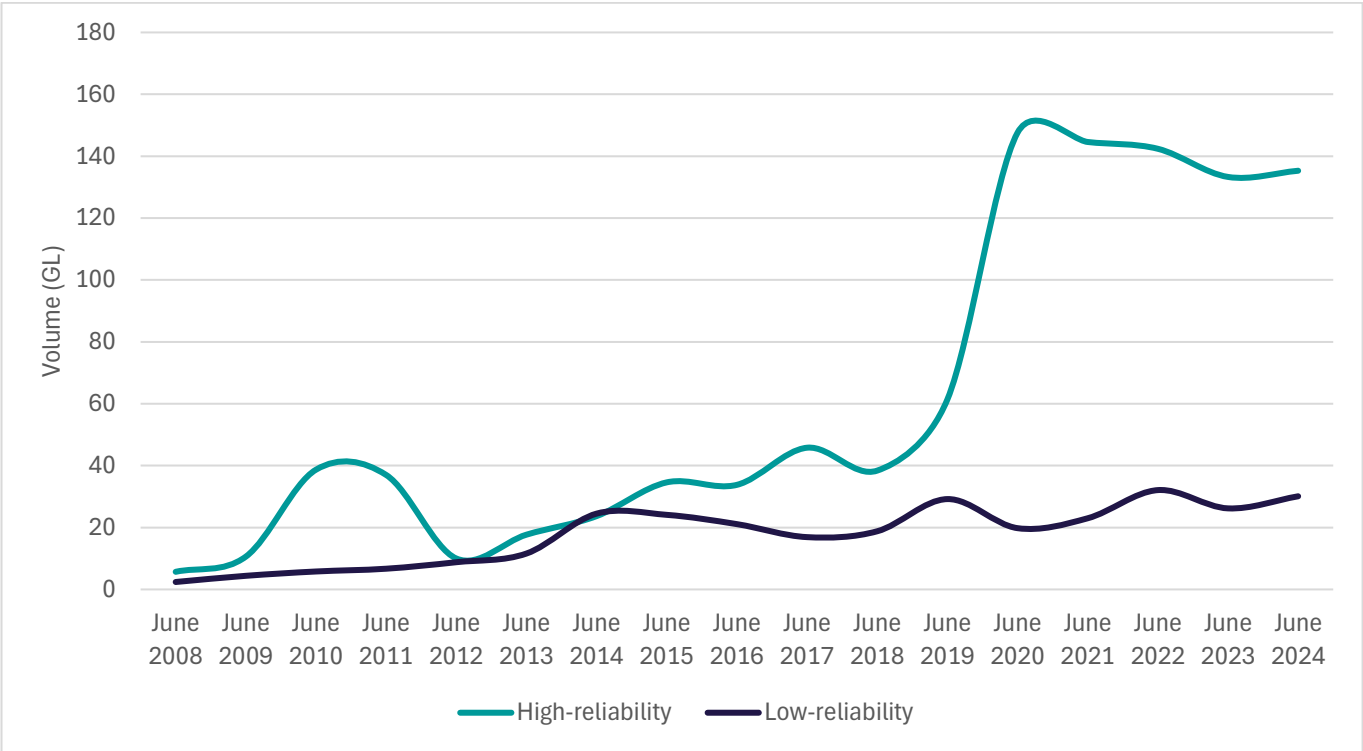
Figure 12: Water share transfers of ownership annual median price, Southern Victoria since 2008–09



Notes:

1. *$0-priced trades are not included in the median price calculations.*
2. *Southern Victoria conducts a limited number of water share transfers per month, because of this an annual median price is used in this chart.*

Figure 13: Limited term transfers active at 30 June, whole of Victoria since 2007-08



Notes:

1. *The marked increase in 2019–20 in the LTTs recorded was mostly due to the restructuring of water assets between two companies.*

Table 7: Allocation trades processing times, 2023-24

Trade	Number of trades processed	Performance	Standard
With South Australia. (Performance = % processed within 20 business days)	527	97%	90%
With New South Wales. (Performance = % processed within 10 business days)	331	99%	90%
Within Victoria. (Performance = % processed within 5 business days)	13,603	97%	90%

Table 8: Water share transfer processing times, 2023-24

Trade	Number of trades processed	Performance	Standard
Approvals. (Performance = % registered within 20 business days)	2,549	99%	90%
Registrations. (Performance = % registered within 10 business days)	2,547	100%	90%

Notes:

1. *'Approvals' refer to Water Corporation approvals to transfer a water share.*
2. *'Registrations' refer to transfers legally recorded in the Victorian Water Register by the Water Registrar.*

Table 9: Total allocation trade in northern Victoria (excluding environmental trade), 2023-24

		Buyer trading zone source volume (ML)																	
		1A Greater Goulburn	1B Boort	2 Broken	3 Lower Goulburn	4A Campaspe - Eppalock to WWC	4C Lower Campaspe	5A Loddon - CC/Tull to LWP	5B Bullarook	6 VIC Murray - Dart to Barmah	6B Lower Broken Creek	7 VIC Murray - Barmah to SA	9A Ovens	9B King	10 NSW Murr U/S Barmah Choke	11 NSW Murr D/S Barmah Choke	12 South Australian Murray	13 Murrumbidgee	**Total volume (ML)**	**Total number of trades**
Seller trading zone source volume (ML)	1A Greater Goulburn	562,178	47,006	353	6,039	5,152	564	1,465		1,048	779	221,944				1,300	1,330		**849,157**	**5,132**
	1B Boort	70,360	13,445				200	569		277		7,044							**91,894**	**321**
	2 Broken	4,113		1,537								5							**5,656**	**60**
	3 Lower Goulburn	12,281	590		314	158		17				1,487					88		**14,935**	**135**
	4A Campaspe - Eppalock to WWC	12,163	3,303	6	1,500	4,821	2					370					110		**22,275**	**131**
	4C Lower Campaspe	555			154							4							**713**	**8**
	5A Loddon - CC/Tull to LWP	9,188	1,778		65	1,188		911		206		396							**13,732**	**146**
	5B Bullarook								285										**285**	**11**
	6 VIC Murray - Dart to Barmah	506	16							230,370	876	43,436			27,245				**302,449**	**1,512**
	6B Lower Broken Creek	949		21						2,005	985	14,101					979		**19,039**	**174**
	7 VIC Murray - Barmah to SA	81,642	5,716	11	627	896	104	902		5,629	3,193	757,714			195	37,646	128,591	5,141	**1,028,006**	**5,823**
	9A Ovens												913						**913**	**17**
	9B King													846					**846**	**14**
	10 NSW Murr U/S Barmah Choke									9,425									**9,425**	**11**
	11 NSW Murr D/S Barmah Choke	1,021								2	77	22,436							**23,536**	**91**
	12 South Australian Murray	3,114	2,530									44,013							**49,658**	**153**
	13 Murrumbidgee	780	150									23,590							**24,520**	**44**
Total volume (ML)		**758,850**	**74,535**	**1,928**	**8,699**	**12,215**	**870**	**3,864**	**285**	**248,962**	**5,910**	**1,136,537**	**913**	**846**	**27,440**	**38,946**	**131,097**	**5,141**	**2,457,037**	
Total number of trades		**5,480**	**297**	**26**	**76**	**77**	**11**	**42**	**11**	**1,415**	**77**	**5,731**	**17**	**14**	**56**	**112**	**337**	**4**		**13,783**

Notes:

1. *Blank values or missing entries indicate that no trade occurred for that combination of seller and buyer trading zones for this water year.*
2. *Does not include tagged trade.*
3. *This table excludes trade between environmental accounts.*



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